

08 Sep 2026 18:48:01 ET | 11 pages

Hon Hai Precision (2317.TW)

AI Infrastructure Becomes the Core Growth Engine

CITI'S TAKE

We hosted Hon Hai's investor meeting during Citi Global TMT Conference. The management reiterated that AI infrastructure is increasingly becoming the company's largest structural growth opportunity. Hon Hai now serves nearly all major hyperscalers and is expanding into neo-clouds, AI model developers, sovereign AI projects, and selected enterprises. Importantly, the opportunity is moving beyond traditional server manufacturing toward direct customer relationships and higher-level system integration. Larger neo-clouds and model developers increasingly want to build their own infrastructure rather than purchase through traditional branded OEMs, creating opportunities for direct ODM/EMS engagement. Capacity is being expanded across Taiwan, the U.S., Mexico, and India. Management expects AI to eventually become its largest business segment, with future growth driven not only by overall market expansion but also by market-share gains and increasing content per system.

Buy

Price (08 Sep 26 13:30)	NT\$251.50
Target price	NT\$400.00
Expected share price return	59.0%
Expected dividend yield	4.1%
Expected total return	63.1%
Market Cap	NT\$3,540,050M US\$112,308M

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- Vera Rubin Drives the Next Rack Upgrade Cycle.** The transition from Blackwell/GB300 toward Vera Rubin should create another substantial content and manufacturing upgrade. Management indicated that AI rack ASP could increase by roughly 60–70% versus the previous generation, although revenue growth will also depend on whether components are purchased directly or supplied under consignment. A major manufacturing improvement is the replacement of numerous cables with integrated components in the compute tray, enabling substantially greater automation. Rack capacity has meanwhile increased from roughly 1,000 racks per week last year toward 2,000 per week, covering both GPU and ASIC systems. Blackwell should continue into next year, but Rubin is expected to become increasingly dominant into next year.
- ASIC Expands Alongside GPU, Improving Customer Breadth.** GPU systems remain the dominant AI business, representing approximately 80% of current AI rack exposure versus roughly 20% for ASIC, but ASIC is growing faster and should gain importance next year. Management suggested it could serve all three major ASIC customers and potentially become a major supplier to each, while on the GPU side it participates with roughly four to five of six major customers. Current ASIC programs are predominantly consignment-based, whereas most GPU programs still use a buy-and-sell model. Consignment nevertheless produces a higher reported margin percentage, while buy-and-sell generates greater absolute profit through procurement and financing services. Management therefore emphasized operating profit and operating margin rather than gross margin

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

as better indicators of economic performance. Increasing ASIC share should broaden the customer base while reducing dependence on any single GPU architecture.

- **CPO Emerges as a New High-Precision Manufacturing Opportunity.** Management indicated that CPO switch mass production has begun, with a shipment target of approximately **10,000 units this year** and volumes expected to rise by **multiple times next year**. Current activity appears concentrated around Nvidia-related solutions, although engagements also extend to other customers. Unlike conventional switches, CPO requires substantially greater manufacturing precision because optical components are integrated much closer to the switch silicon, creating additional requirements around assembly, alignment, testing and yield management. Management emphasized that demand itself is not the primary concern; near-term execution depends more on securing critical components and improving manufacturing yield during the early ramp.
- **Vertical Integration Supports Margin and Long-Term ROE Expansion.** Vertical integration is becoming central to the AI strategy. Excluding core silicon such as GPU, CPU and memory, management estimates it can potentially supply around **50% of rack components**, with penetration expanding across cooling, power, interconnect and networking. This higher internal content should help offset the margin pressure created by rapidly rising rack ASPs. Management reiterated an OPM floor of roughly **3.2% for this year**, versus approximately **3.6% achieved in 1H**, and sees around 3% as a sustainable longer-term minimum. Importantly, future capacity expansion is generally tied to customer commitments and financial support because facilities are often dedicated to individual customers. Combined with stronger hyperscaler relationships, ASIC share gains, Rubin, CPO, and increasing internally supplied content, management appears confident that AI can support both sustained revenue growth and structurally improving returns over the next several years.

Hon Hai Precision

Valuation

Our target price of NT\$400 is based on 18x average 2026E-27E EPS, which is at the higher end of the historical trading range. We believe this multiple is justified by the company's enhanced sales growth and profit margin outlook, as well as new endeavors into AI server, EV, digital health and robotics. Hon Hai has been able to generate positive earnings streams, and thus we believe a P/E valuation methodology is appropriate.

Risks

Downside risks that could impede the stock from reaching our target price include: 1) slower-than-expected iPhone demand; 2) intensified peer competition; 3) weaker-than-expected execution on new business progress; and 4) higher-than-expected impact of COVID-19 or other macro factors.

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Appendix A-1

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Hon Hai Precision (2317.TW)

Ratings and Target Price History Fundamental Research

Analyst: Laura (Chia Yi) Chen



	Date	Rating	Target Price	Closing Price
1	14-Mar-24 18:14:10	1	*166.00	121.00
2	14-May-24 10:12:01	1	*207.00	172.00
3	23-Jun-24 17:55:18	1	*255.00	212.00
4	14-Aug-24 09:06:07	1	*250.00	185.50

	Date	Rating	Target Price	Closing Price
5	14-Nov-24 09:52:36	1	*260.00	211.50
6	14-May-25 08:26:47	1	*220.00	163.00
7	14-Aug-25 11:01:46	1	*250.00	199.50
8	06-Oct-25 08:33:44	1	*285.00	226.50

	Date	Rating	Target Price	Closing Price
9	12-Nov-25 13:13:30	1	*320.00	251.00
10	14-May-26 11:56:31	1	*360.00	244.50
11	12-Aug-26 11:00:08	1	*400.00	270.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

Hon Hai Precision (2317.TW)

Short-Term View/Catalyst Watch Research

Analyst: Laura (Chia Yi) Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	14-Aug-24 05:06:07	Add STV	Upside	30 Days	185.50
2	13-Sep-24 14:18:39	Remove STV	Upside	30 Days	176.00
3	08-Oct-24 08:12:52	Add STV	Upside	90 Days	194.00
4	06-Jan-25 19:58:13	Remove STV	Upside	90 Days	184.50
5	10-Feb-25 01:21:07	Add STV	Upside	90 Days	174.00
6	17-Apr-25 07:55:20	Remove STV	Upside	90 Days	134.50

	Date	Action	Expected Direction	Duration	Closing Price
7	05-May-25 02:10:47	Add STV	Upside	30 Days	142.50
8	04-Jun-25 21:54:31	Remove STV	Upside	30 Days	156.00
9	05-Jun-25 06:40:07	Add STV	Downside	30 Days	155.50
10	04-Jul-25 14:23:13	Remove STV	Downside	30 Days	161.00
11	06-Jul-25 14:10:54	Add STV	Upside	30 Days	161.00
12	05-Aug-25 21:47:06	Remove STV	Upside	30 Days	184.50

	Date	Action	Expected Direction	Duration	Closing Price
13	14-Aug-25 07:01:46	Add STV	Upside	90 Days	199.50
14	12-Nov-25 19:59:24	Remove STV	Upside	90 Days	251.00
15	23-Nov-25 14:57:51	Add STV	Upside	30 Days	225.00
16	23-Dec-25 19:51:51	Remove STV	Upside	30 Days	224.00
17	05-Jan-26 01:27:04	Add STV	Upside	30 Days	234.50
18	04-Feb-26 19:57:48	Remove STV	Upside	30 Days	219.00

CW - Catalyst Watch, STV - Short-Term View

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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